Palantir Technologies Inc.

PLTR NYSE

Hold	$173.55 ▼ 2.69%	12M Price Target	52-Week Range	Market Cap
		$185.00	$106.37 – $212.94	$417.05B

PLTR: Profit-Taking Hits Hard Despite Government AI Boom

WHAT HAPPENED

- PLTR is down ~12% in just four trading days ($196 → $173) with zero bad news — this is classic profit-taking after a monster run. When a stock drops this hard without a catalyst, it usually means big holders are ringing the register ahead of earnings or on sector rotation, not that the business broke.
- Options traders are aggressively buying near-the-money calls (the $170-$180 strikes expiring in a few weeks saw 20x+ their normal volume) — translation: smart money is betting the selloff is temporary and buying lottery tickets on a bounce.

WHY IT MATTERS

Here's the tension to think about: the business is firing on all cylinders (government AI spending is booming, commercial Palantir deals are accelerating) BUT the stock trades at ~240x forward earnings — meaning investors are paying $240 for every $1 of profit the company makes next year. That's priced for near-perfection, so ANY wobble (a soft guide, a slower government quarter) can trigger a 15-20% drawdown like we're seeing. The insider selling cluster from Director Moore in mid-October (~$1M dumped at $193-$196) now looks very well-timed — insiders often see valuation stretching before the market does. Bottom line: the long-term AI/defense thesis is intact, but at this multiple you're buying volatility — expect more of these shakeouts even in a bull case.

POLICY & POLITICAL WATCH

PLTR is arguably the biggest beneficiary of the current political environment: the Trump administration's push for AI-driven government efficiency (DOGE-style initiatives, DoD modernization, ICE/border tech contracts) directly funnels into Palantir's Foundry and Gotham platforms. Watch the FY2027 defense authorization debate and any continuing resolution fights in Congress — if defense/intel budgets get even a modest boost for AI programs, PLTR captures an outsized share because they're already embedded. The one policy risk: bipartisan noise around AI regulation and procurement reform — if Congress mandates more competitive bidding on classified AI contracts, PLTR's incumbency advantage shrinks.

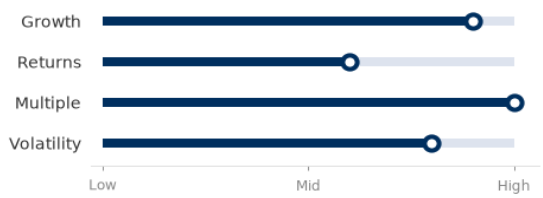
IS IT EXPENSIVE?

At $173 with a $417B market cap, you're paying roughly 85x next year's revenue and 240x forward earnings — for context, Microsoft trades at ~30x earnings and even Nvidia is around 35x. The only way this math works is if PLTR grows revenue 40%+ for the next 3-4 years AND margins keep expanding. The business CAN do that, but there's zero margin for error — which is exactly why the stock just dropped 12% on no news.

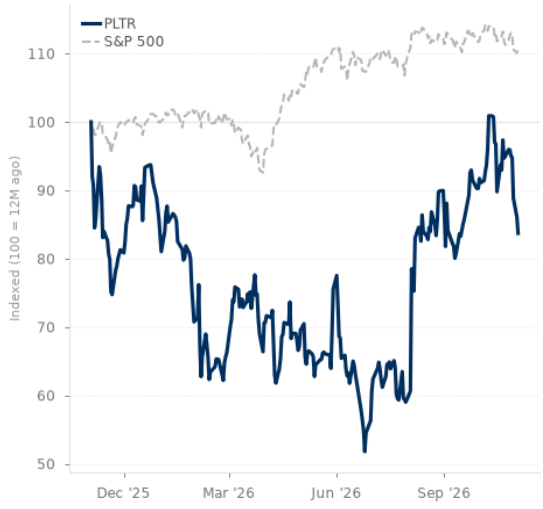
Key Data

Price (USD)	**$173.55**
12M Price Target	**$185.00**
Upside / (Downside)	**+6.6%**
Market Cap	**$417.05B**
FY2026E Revenue	**$4,850M**
FY2027E Revenue	**$6,500M**
FY2026E EPS	**$0.72**
FY2027E EPS	**$1.05**
Fwd P/E	**241.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

PLTR — Palantir Technologies Inc. | November 03, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$195.00**	$178.00	**$155.00**
6 Months	**$230.00**	$190.00	**$140.00**
1 Year	**$260.00**	$200.00	**$125.00**
2 Years	**$320.00**	$230.00	**$110.00**
5 Years	**$500.00**	$300.00	**$90.00**
10 Years	**$800.00**	$450.00	**$75.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Industrials (+2.3% over 5 days) — defense primes and infrastructure plays are catching a bid as federal spending priorities crystallize. Healthcare is quietly working too (+3% over 5 days) on policy clarity.

COOLING OFF: Technology down 7% in five days — this is the big one. Mega-cap tech is being sold aggressively (AI capex fears, valuation reset) and PLTR is getting swept up in that rotation despite its unique government exposure.

ROTATION WATCH: Money is rotating OUT of expensive software/AI and INTO industrials and defense hardware — ironically PLTR straddles both but the market is treating it as pure "expensive AI software" right now, which is why it's selling off with the tech cohort.

RELATED PLAY: If you believe the government AI thesis but want cheaper exposure, defense primes like LMT, RTX, or data-infrastructure plays like ANET and VRT give you the same tailwind at 20-30x earnings instead of 240x.

WHO'S WINNING IN THIS SPACE?

- LMT (Lockheed Martin): Defense primes winning as the budget narrative firms up — reasonable multiples with similar government tailwinds.
- ANET (Arista Networks): AI networking infrastructure play benefiting from datacenter buildout without the extreme multiple risk.

PLTR CONTEXT: PLTR has massively outperformed the broader tech sector YTD, so this pullback is partly "winners get sold first" when sentiment turns. It's still leading on a 6-month and 1-year basis — the question is whether this is a healthy pause before the next leg up or the start of the multiple compression everyone's been warning about. Earnings will tell us.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, I'm nervous about the price. Great company, demanding valuation.

POSITION SIZE: 2-4% of portfolio — big enough to matter if it works, small enough that a 30% drawdown doesn't ruin your year. Don't make this a 10% position at these multiples.

ENTRY POINTS: I'd rather chase strength above $200 on an earnings beat than catch a falling knife here. If you must buy now, scale in — 1/3 at $173, 1/3 at $160, 1/3 at $150.

TIME HORIZON: 12-24 months. The catalyst to wait for: Q3 earnings (likely next few days) and FY2027 guidance — that tells you if commercial growth is sustaining and government is accelerating.

WHEN TO BAIL: Commercial revenue growth decelerating two quarters in a row, or any sign the government pipeline is slowing. Also: if the stock breaks $150 on volume, the technical story has changed.

HEDGING: The easy move — buy a protective put (think of it as insurance that pays off if the stock crashes) at the $150 strike expiring in 3-6 months. Costs you maybe 3-4% of the position but caps your downside during a volatile earnings window.

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